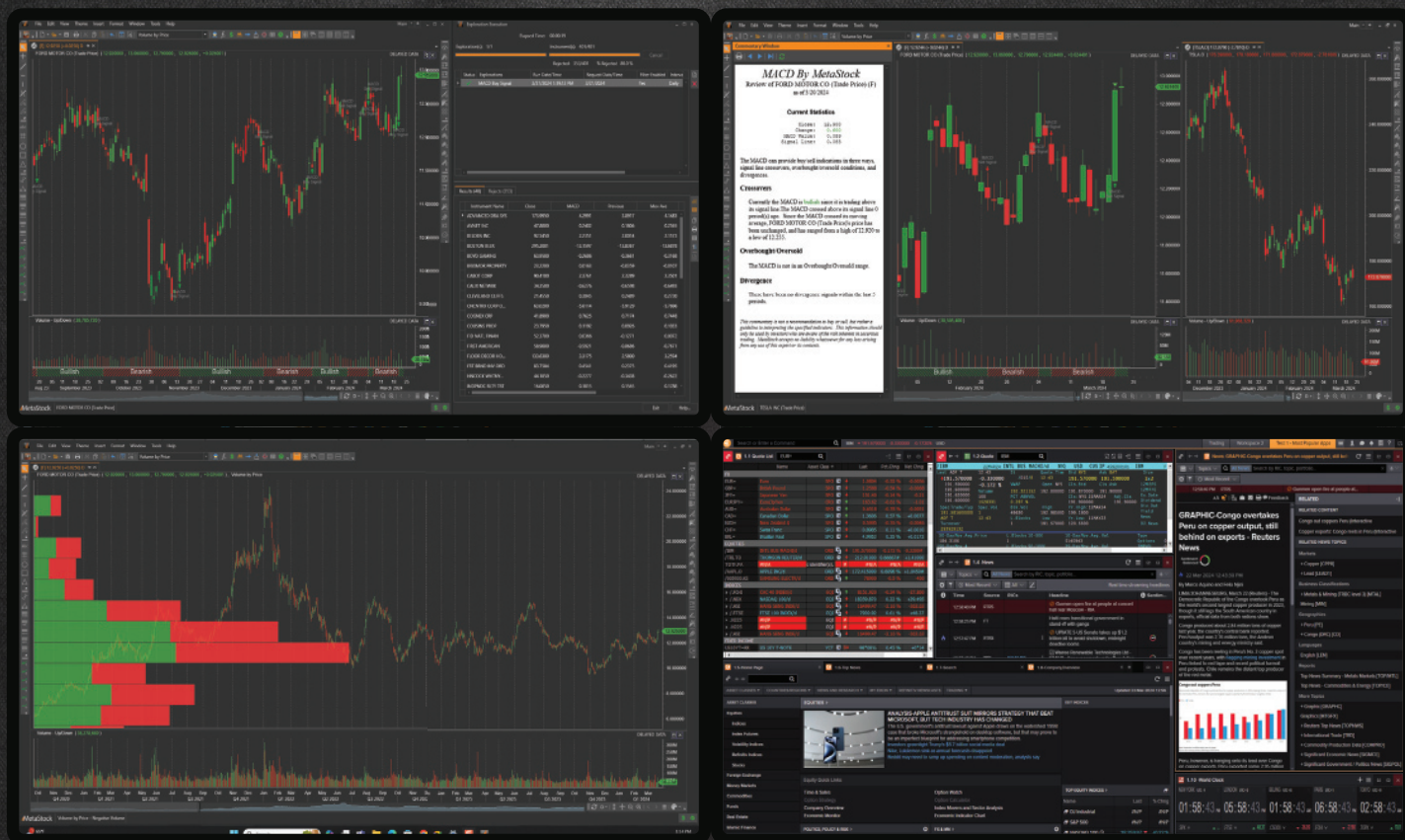




“Whoa. This is amazing.”

-pretty much anyone who has tried MetaStock 19

Watch a demo and get an extended trial of the **All-New MetaStock 19** featuring **Improved Workflows** and **Next-Gen Flexible Layouts**
[MetaStock.com/P424](https://www.metastock.com/P424)

This is neither a solicitation to buy or sell any type of financial instruments, nor intended as investment recommendations. All investment trading involves multiple substantial risks of monetary loss. Don't trade with money you can't afford to lose. Trading is not suitable for everyone. Past performance, whether indicated by actual or hypothetical results or testimonials are no guarantee of future performance or success. NO REPRESENTATION IS BEING MADE THAT ANY ACCOUNT WILL OR IS LIKELY TO ACHIEVE PROFITS OR LOSSES SIMILAR TO THOSE SHOWN. IN FACT, THERE ARE FREQUENTLY SHARP DIFFERENCES BETWEEN HYPOTHETICAL PERFORMANCE RESULTS OR TESTIMONIALS AND THE ACTUAL RESULTS SUBSEQUENTLY ACHIEVED BY ANY PARTICULAR TRADING PROGRAM. Furthermore, all internal and external computer and software systems are not fail-safe. Have contingency plans in place for such occasions. MetaStock assumes no responsibility for errors, inaccuracies, or omissions in these materials, nor shall it be liable for any special, indirect, incidental, or consequential damages, including without limitation losses, lost revenue, or lost profits, that may result from reliance upon the information presented.

NINJATRADER

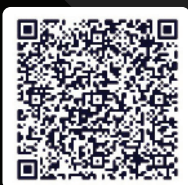
NO RISK, ALL REWARD: PRACTICE FUTURES TRADING WITH LIVE DATA

Test and tweak your futures trading strategies risk-free with **unlimited simulated trading** and live market data on our powerful, award-winning platform.



JUMPSTART YOUR TRADING JOURNEY with the leading futures broker:

- 1,000+ third-party tools, apps, and add-ons
- Education for new and experienced traders
- 100+ technical analysis tools and 24/5 live support
- Daily market prep and analysis from our pros



**BETTER FUTURES
START HERE.**

Open your free
account today.

VISIT

 NinjaTrader.com/TASC

Futures trading contains substantial risk
and is not suitable for every investor.



Solving The Random Variable Problem

Drunkard's Walk: Theory And Measurement By Autocorrelation

Here, we look at some of the basic issues that underlie technical analysis itself. And we introduce a new indicator, called "autocorrelation," you can use to test for correlation in the data.



Drunkard's walk is a rather fanciful name for a random variable problem used to mathematically model financial price data. It is easy to visualize a drunk staggering randomly to the right and left as he takes each step forward. The staggering in two dimensions to the right and left is analogous to prices moving up and down with each sample. Formalism of continuous random variables makes understanding of the resulting partial differential equations a little daunting. So in this article, I will simplify the problem using discrete samples and Z transforms.

DIFFUSION EQUATION, WAVE EQUATION

In this notation, Z^{-1} means one unit of delay. *Z transforms* have evolved from *LaPlace transforms* that are used to solve differential equations as if they were algebra problems.

If the random variable is positioned to the right or left with each step forward, the new position is the current position plus the random variable plus a drift bias. The equation for this problem statement is:

$$X = B + X*Z^{-1} + \varepsilon$$

where ε is the random variable and B is a constant drift.

This is a first-order polynomial. The partial dif-

ferential equation form of this equation is called the *diffusion equation*. Perhaps the easiest way to visualize the use of the diffusion equation in the physical world is to imagine a plume of smoke. The tilt of the plume comes from the constant drift component. Then the position of any particle of smoke is described by the random variable departure from the average plume.

Another partial differential equation solution to the continuous variable random walk problem is called the *wave equation*. This equation basically says that the second-order partial derivative with respect to *time* is proportional to the second-order partial derivative with respect to *position*. In the discrete case, the change with respect to time is two units along the horizontal axis. The change in the vertical axis is the position two units ago plus the random variable to establish the position one unit ago, and then another random variable added to that position to get to the current position. So, the equation is:

$$X = B + (X*Z^{-2} + \varepsilon_1 + \varepsilon_2) / 2$$

It is possible to restate the problem where the drunk makes a random decision to step in the same direction as the last step or in the opposite direction. In this case, the random variable is *momentum*, not *position*.

Perhaps the easiest way to understand the difference between the diffusion equation and the wave equation is to run an Excel simulation of the two sampled data equations above. In cell A1 enter $=2*(RAND()-0.5)$. This creates a random number between -1 and $+1$. Then copy cell A1 and paste the copy into cells A1 through A20. Then copy cells A1 through A20 and

by John F. Ehlers

paste the copy to cells A21, A41, A61, and A81. This creates a random data set that is lightly correlated with a 20-unit cycle. Column C will be the first-order random walk solution. In cell C3 enter = 0.1 + C2 + A3. The drift value is fixed at 0.1. Then copy cell C3 and paste the copy into cells C3 through C100. Column D will be the second-order random walk solution. In cell D3 enter = 0.1 + (D1 + A2 + A3) / 2. Then copy cell D3 and paste the copy into cells D3 through D100.

When you chart columns C and D you will get a display something like that shown in Figure 1. If you press F9, all

the random numbers change and you will get a slightly different display. The interpretation is that the diffusion equation has a continuous slope with a random variation from that slope. This is like the analogy of a smoke plume. There is a major drift, and each particle of smoke varies randomly from the drift. On the other hand, the wave equation loses the impact of the drift. You can start to see the periodicity of the random variable with peaks typically appearing at 20, 40, 60, and 80. The closest physical analogy to the wave equation is the meandering of a river.

My opinion is that market data consists of a mixture of the diffusion mode and the wave mode. If the diffusion mode is dominant, trading success is almost a matter of luck. If the wave mode is dominant, indicators can be brought to bear with amazing results.

PINK SPECTRUM

There is a plethora of recent academic studies that affirm that market data has a pink spectrum. This means that the power spectral density is proportional to the wavelengths in the spectrum. A random process with a pink spectrum suggests that the values of the random variable are not independent. There are correlations between them over time. Specifically, it means there is a long-range dependence or memory with respect to past values.

AUTOCORRELATION

A mathematical test for correlation in the data can be done with the autocorrelation function. *Autocorrelation* is performed by choosing a length of data and repeatedly sliding

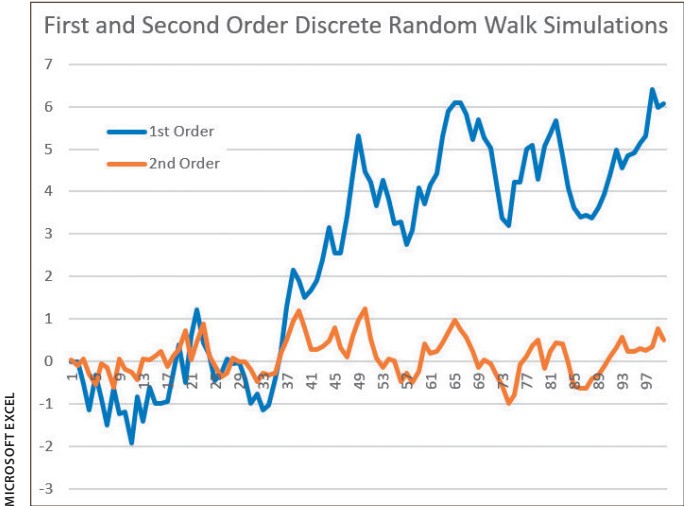


FIGURE 1: THE TREND IS LOST WHEN THE RANDOM VARIABLE IS MOMENTUM. The diffusion equation has a continuous slope with a random variation from that slope. You can start to see the periodicity of the random variable with peaks typically appearing at 20, 40, 60, and 80.

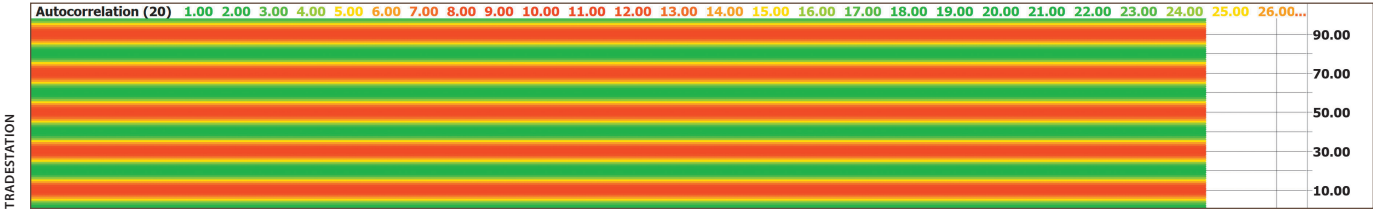


FIGURE 2: PERIODOGRAM OF A 20-BAR SINE WAVE USING A 20-BAR DATA LENGTH. When there is zero lag, the two data segments are perfectly correlated. With a lag of 10 bars, the two data segments are perfectly anticorrelated. With a lag of 20 bars, the two data segments are perfectly correlated again. The correlation pattern repeats every 20 bars, as seen in this periodogram. Here, correlation is in green, anticorrelation is in red. Lag is scaled on the vertical axis, time is scaled on the horizontal axis. Note the green correction at the bottom of the chart where the lag is zero.

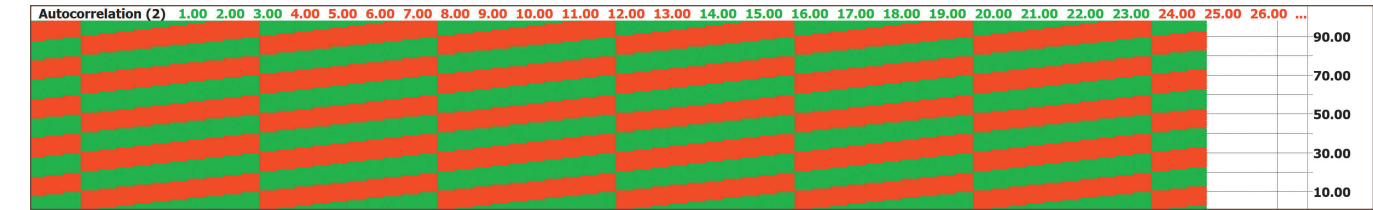


FIGURE 3: PERIODOGRAM OF A 2-BAR SINE WAVE USING A 2-BAR DATA LENGTH. If the data length is reduced to two bars, the data plot is fully correlated most of the time near the zero lag baseline. At each peak and valley of the waveform, it switches to anticorrelation. Turning points can be seen at these switches between green and red along the vertical axis. The history of the turning points is plotted as the slope in the pattern. The slope of the pattern near the lag baseline identifies the trends.

that data segment past the static waveform with increasing lag.

For example, consider a perfect sine wave having a 20-bar wavelength. We first choose a 1-wavelength data sample. When there is zero lag, the two data segments are perfectly correlated. With a lag of 10 bars, the two data segments are perfectly anticorrelated. Increasing the lag to 20 bars, the two data segments are perfectly correlated again. As the lag is further increased, the correlation pattern repeats every 20 bars. The display of this process is called a *periodogram*. Picture correlation being green, anticorrelation being red, with lag scaled on the vertical axis. Time is scaled along the horizontal axis.

Doing this, you get the periodogram shown in Figure 2. Note the green correction at the bottom of the chart where the lag is zero and note that the correlation pattern repeats vertically every 20 bars of lag.

We get quite a different picture if we reduce the data length to two bars (see Figure 3). Doing this, we are fully correlated most of the time near the zero lag baseline. However, there is a switch to anticorrelation at each peak and valley of the waveform. The turning points can be visually identified along the time axis by the switches between green and red along the vertical axis. Nevertheless, the 20-bar cycle period is still identified by the pattern that repeats with each 20 bars of lag along the vertical axis. The history of the turning points is plotted as the slope in the pattern. The slope of the pattern near the lag baseline identifies the trends.

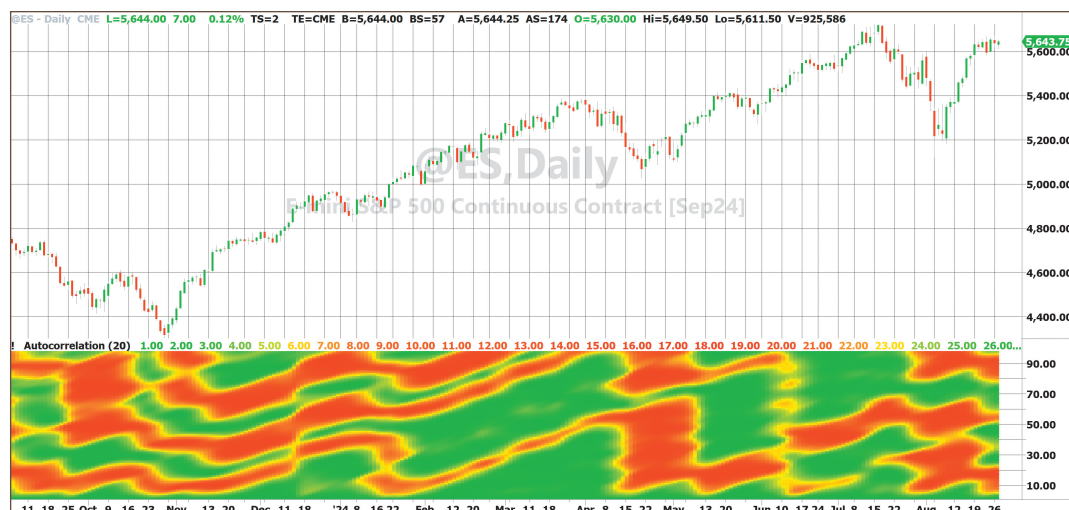


FIGURE 4: AUTOCORRELATION OF EMINI S&P USING A 20-BAR DATA LENGTH. Since monthly data is about 20 bars, a data length of 20 bars is used for the autocorrelation. You can see the repetitive pattern in the data of about 29 bars in fall 2023 and winter 2023–2024. Then the trend during spring 2024 is noted by the green triangular shape rising from the zero lag baseline. The green correlation triangle trend pattern is repeated again from May through July 2024.

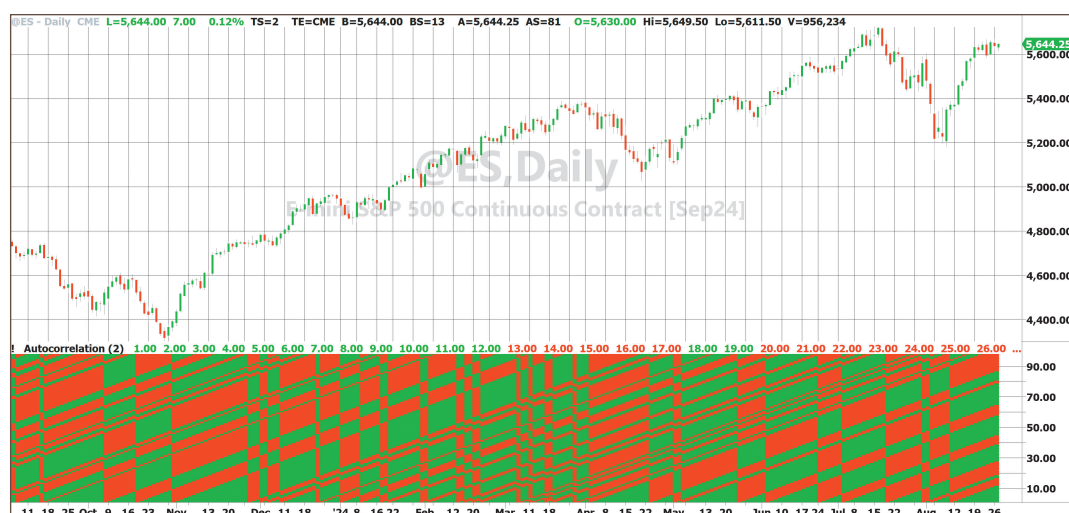


FIGURE 5: AUTOCORRELATION OF EMINI S&P USING A 2-BAR DATA LENGTH. When the data length of autocorrelation is reduced to 2, you get a pattern such as this. You can identify turning points in the data waveform from the position of the vertical patterns in the autocorrelation.

Approximately one year of daily data for the emini S&P futures contract is shown in Figure 4. A data length of 20 bars is used for the autocorrelation because it is natural to examine the data for monthly (about 20-bar) cycle periods. You can see the repetitive pattern in the data of about 29 bars in the fall of 2023 and the winter of 2023–2024.

The drunkard's walk is a mathematical model of market data using random variables.



AUTOCORRELATION INDICATOR, IN EASYLANGUAGE CODE

[illegible]

```

If Lag = 61 Then Plot62(61, "S61", RGB(Color1, Color2, 0),0,4);
If Lag = 62 Then Plot63(62, "S62", RGB(Color1, Color2, 0),0,4);
If Lag = 63 Then Plot64(63, "S63", RGB(Color1, Color2, 0),0,4);
If Lag = 64 Then Plot65(64, "S64", RGB(Color1, Color2, 0),0,4);
If Lag = 65 Then Plot66(65, "S65", RGB(Color1, Color2, 0),0,4);
If Lag = 66 Then Plot67(66, "S66", RGB(Color1, Color2, 0),0,4);
If Lag = 67 Then Plot68(67, "S67", RGB(Color1, Color2, 0),0,4);
If Lag = 68 Then Plot69(68, "S68", RGB(Color1, Color2, 0),0,4);
If Lag = 69 Then Plot70(69, "S69", RGB(Color1, Color2, 0),0,4);
If Lag = 70 Then Plot71(70, "S70", RGB(Color1, Color2, 0),0,4);
If Lag = 71 Then Plot72(71, "S71", RGB(Color1, Color2, 0),0,4);
If Lag = 72 Then Plot73(72, "S72", RGB(Color1, Color2, 0),0,4);
If Lag = 73 Then Plot74(73, "S73", RGB(Color1, Color2, 0),0,4);
If Lag = 74 Then Plot75(74, "S74", RGB(Color1, Color2, 0),0,4);
If Lag = 75 Then Plot76(75, "S75", RGB(Color1, Color2, 0),0,4);
If Lag = 76 Then Plot77(76, "S76", RGB(Color1, Color2, 0),0,4);
If Lag = 77 Then Plot78(77, "S77", RGB(Color1, Color2, 0),0,4);
If Lag = 78 Then Plot79(78, "S78", RGB(Color1, Color2, 0),0,4);
If Lag = 79 Then Plot80(79, "S79", RGB(Color1, Color2, 0),0,4);
If Lag = 80 Then Plot81(80, "S80", RGB(Color1, Color2, 0),0,4);

```

```

If Lag = 81 Then Plot82(81, "S81", RGB(Color1, Color2, 0),0,4);
If Lag = 82 Then Plot83(82, "S82", RGB(Color1, Color2, 0),0,4);
If Lag = 83 Then Plot84(83, "S83", RGB(Color1, Color2, 0),0,4);
If Lag = 84 Then Plot85(84, "S84", RGB(Color1, Color2, 0),0,4);
If Lag = 85 Then Plot86(85, "S85", RGB(Color1, Color2, 0),0,4);
If Lag = 86 Then Plot87(86, "S86", RGB(Color1, Color2, 0),0,4);
If Lag = 87 Then Plot88(87, "S87", RGB(Color1, Color2, 0),0,4);
If Lag = 88 Then Plot89(88, "S88", RGB(Color1, Color2, 0),0,4);
If Lag = 89 Then Plot90(89, "S89", RGB(Color1, Color2, 0),0,4);
If Lag = 90 Then Plot91(90, "S90", RGB(Color1, Color2, 0),0,4);
If Lag = 91 Then Plot92(91, "S91", RGB(Color1, Color2, 0),0,4);
If Lag = 92 Then Plot93(92, "S92", RGB(Color1, Color2, 0),0,4);
If Lag = 93 Then Plot94(93, "S93", RGB(Color1, Color2, 0),0,4);
If Lag = 94 Then Plot95(94, "S94", RGB(Color1, Color2, 0),0,4);
If Lag = 95 Then Plot96(95, "S95", RGB(Color1, Color2, 0),0,4);
If Lag = 96 Then Plot97(96, "S96", RGB(Color1, Color2, 0),0,4);
If Lag = 97 Then Plot98(97, "S97", RGB(Color1, Color2, 0),0,4);
If Lag = 98 Then Plot99(98, "S98", RGB(Color1, Color2, 0),0,4);

```

End;

ULTIMATESMOOTHER FUNCTION, IN EASYLANGUAGE CODE

```

{
  Ultimate Smoother Function
  (C) 2004-2024 John F. Ehlers
}

Inputs:
  Price(numericseries),
  Period(numericsimple);

Vars:
  a1(0),
  b1(0),
  c1(0),
  c2(0),
  c3(0),
  US(0);

a1 = expvalue(-1.414*3.14159 / Period);
b1 = 2*a1*Cosine(1.414*180 / Period);
c2 = b1;
c3 = -a1*a1;
c1 = (1 + c2 - c3) / 4;

If CurrentBar >= 4 Then US = (1 - c1)*Price + (2*c1 - c2)*Price[1] -
(c1 + c3)*Price[2] + c2*US[1] + c3*US[2];
If CurrentBar < 4 Then US = Price;

$UltimateSmoother = US;

```

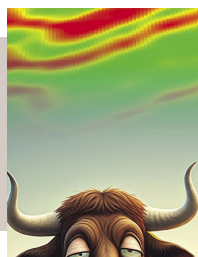
Then the trend during the spring of 2024 is noted by the green triangle rising from the zero lag baseline. The green correlation triangle trend pattern is repeated again from May through July 2024.

When we reduce the data length of *autocorrelation* to 2, we get the pattern shown in Figure 5. You can identify the turning points in the data waveform from the position of the vertical patterns in the autocorrelation. I use my UltimateSmoother (for more on this, see my April 2024 S&C article “The Ultimate Smoother,” listed at the end of this article in “Further reading”) to smooth the data and the short-term autocorrelation reversals without sacrificing much time lag in the indicator. Better smoothing, at the expense of time lag, can be obtained by using my Super-Smoother or Hann filter (for more on my technique for using the Hann filter, see my September 2021 S&C article “Windowing” listed at end in “Further reading”). You can also reduce the number of trend reversals by slightly increasing the data length used for the calculations.

There is a great deal of flexibility in the use of autocorrelation in trading. It is a new type of indicator and probably takes a little time to become familiar with what the indicator is trying to tell you. Give it a try. If it doesn't work out as an indicator for you, you can still use it to create some stunning modern art.

The EasyLanguage code for the autocorrelation indicator is given in the sidebar, “Autocorrelation Indicator, In EasyLanguage Code.”

The only reason the correlation array is scaled to 100 is that the number of individual indicator lines in an indicator is limited to 99. For convenience, the UltimateSmoother function code is given in the sidebar, “UltimateSmoother Function, In Easylanguage Code.”



There are two solutions: the diffusion equation and the wave equation.

CONCLUSIONS

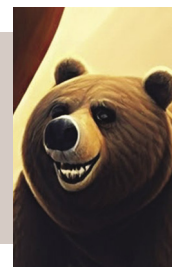
1. The drunkard's walk is a mathematical model of market data using random variables. There are two solutions: the *diffusion equation* and the *wave equation*.
2. The diffusion equation is associated with market trends.
3. The wave equation is associated with cycles in the market.
4. The autocorrelation indicator identifies market cycles by a repetitive pattern periodogram.
5. The autocorrelation indicator identifies market reversals by the vertical pattern across all lag periods when a short data length is used.
6. The autocorrelation indicator identifies trends by increasing correlation area from the baseline as a function of time.

John Ehlers is a retired electrical engineer and a retired technical analyst, specializing in the application of DSP (digital signal processing) to trading. For more information, see www.mesasoftware.com.

FURTHER READING

Ehlers, John [2024]. "The Ultimate Smoother," *Technical Analysis of STOCKS & COMMODITIES*, Volume 42: April.

The autocorrelation indicator identifies trends by increasing correlation area from the baseline as a function of time.



____ [2021]. "Windowing," *Technical Analysis of STOCKS & COMMODITIES*, Volume 39: September.

____ [2004]. *Cybernetic Analysis For Stocks And Futures*, John Wiley & Sons.

____ [2013]. *Cycle Analytics For Traders*, John Wiley & Sons.

‡TradeStation

‡See Editorial Resource Index

The code given in this article is available in the **Article Code** section of our website, Traders.com.

See our **Traders' Tips** coding section of the magazine beginning on page 44 for implementation of John Ehlers' technique in various technical analysis programs and trading platforms. Code found in the Traders' Tips section is also posted to Traders.com.

Find similar articles online at Traders.com



TRADE BRILLIANTLY

An immersive library of online trading education crafted for traders, by traders.

Trading at Schwab is now powered by Ameritrade, bringing you an expanding library of education with even more ways to sharpen your trading skills.

- Access new courses, webcasts, articles, videos, and more—all curated just for traders.
- Guided learning paths with content designed to fit your unique interests.

No sifting to find exactly what you need, so you can spend your time learning to trade brilliantly.



Powered by **Ameritrade**™



Ameritrade, now part of Charles Schwab, ranked #1 for Satisfaction among DIY investors

Schwab.com/Trading

TD Ameritrade, Inc. ("Ameritrade"), Member SIPC, a subsidiary of The Charles Schwab Corporation ("Charles Schwab"), received the highest score in the do-it-yourself segment of the J.D. Power 2024 U.S. Self-Directed Investor Satisfaction Study of investors' satisfaction with self-directed investment firms. It is independently conducted, and the participating firms do not pay to participate. Use of study results in promotional materials is subject to a license fee. Visit [jdpower.com/awards](https://www.jdpower.com/awards) for more details.

Investing involves risks, including loss of principal.

©2025 Charles Schwab & Co., Inc. All rights reserved. Member SIPC. (0824-4E6E) ADP121825-01

Chart Your Path to Financial Independence with PortfolioAnalyst

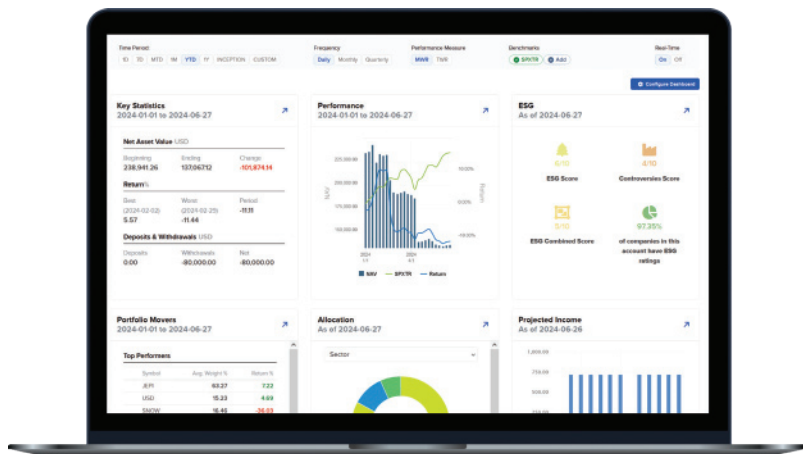


Consolidate, track and analyze all your financial accounts on a single dashboard using powerful portfolio analytics and planning tools.

PortfolioAnalyst is **free for everyone** with no IBKR brokerage account required.

Advanced Investment Analysis for Sophisticated Investors

- **NEW** Plan for the future with a retirement planner tailored to your preferences and market assumptions.
- Unlock deep portfolio insights with Attribution vs. Benchmark analysis, Concentration breakdowns by asset class, sector, and holdings, and Greeks calculations for comprehensive risk assessments.
- Drill into specific portfolio metrics such as portfolio holdings, allocation, performance, activity and other metrics.
- Track portfolio performance against more than 300 standard benchmarks and custom benchmarks.
- Manage portfolios with Global Investment Performance Standards (GIPS®)-verified money and time-weighted returns across composites, firms, currencies and countries.

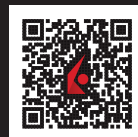


The best-informed investors choose Interactive Brokers

Sign Up Today for a Free PortfolioAnalyst Account



ibkr.com/sc



Interactive Brokers LLC is a member of NYSE, FINRA, SIPC - GIPS® is a registered trademark owned by CFA Institute. CFA Institute does not endorse or promote this organization, nor does it warrant the accuracy or quality of the content contained herein. Any trading symbols displayed are for illustrative purposes only and are not intended to portray recommendations.

07-IB24-168CH1682

SUBSCRIBE OR RENEW TODAY!

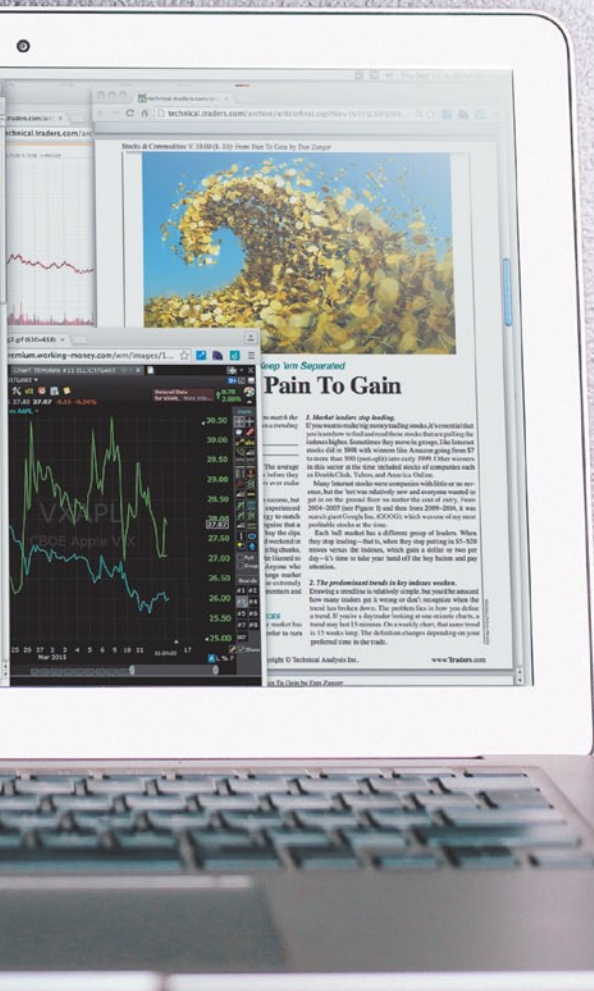
Every Stocks & Commodities subscription (regular and digital) includes:

- Full access to our Digital Edition
The complete magazine as a PDF you can download.
- Full access to our Digital Archives
That's 35 years' worth of content!
- Complete access to WorkingMoney.com
The information you need to invest smartly and successfully.
- Access to Traders.com Advantage
Insights, tips and techniques that can help you trade smarter.

1 year **\$89⁹⁹**

2 years **\$149⁹⁹**

3 years **\$199⁹⁹**



PROFESSIONAL TRADERS' STARTER KIT

A 5-year subscription to S&C magazine that includes everything above PLUS a free* book, *Charting The Stock Market: The Wyckoff Method*, all for a price that saves you \$150 off the year-by-year price! *Shipping & handling charges apply for foreign orders.

5 years **\$299⁹⁹**

That's around \$5 a month!



Visit **www.Traders.com** to find out more!